

Research Briefing | Eurozone

Short-term work schemes not enough to preserve jobs

Economist

Daniela Ordonez
Chief French Economist
+33 (0)1 78 91 50 55

Rosie Colthorpe
European Economist
+44(0)20 3910 8136

Policymakers are counting on short work-time schemes to smooth the hit to the labour market

Figure 1: According to our scorecard, southern European labour markets are the most vulnerable

- **Coronavirus-induced lockdowns are already having a huge impact on the eurozone's labour market. But for now, widely-used short-term paid leave schemes are masking the real impact on the unemployment rate. We estimate the shadow unemployment rate, which includes workers on these schemes, could shoot up close to 30%, with around 50 million people involved.**
- **The frameworks for partial activity schemes are uneven across countries and are likely to have varying success in preserving jobs in the short-term. The German and the French schemes appear best suited to preserve employment. However, restrictions on schemes in Italy and Spain have been eased less and so remain more complex.**
- **This is all the more worrying as countries in the south of European, which are likely to be the hardest hit, have more vulnerable labour markets and are likely to struggle to recover longer-term. Notably, our labour market vulnerability scorecard identifies Greece, Spain, and Italy as the most exposed labour markets. This means they are set to experience a sharp rise in joblessness in the short term, and permanently higher unemployment in the long run.**

Coronavirus lockdowns across Europe have shut down large parts of the economy and labour markets are being badly affected by the sharp contraction in activity. Initial data covering the lockdown period indicates a very severe shock to labour markets, with unemployment rates set to surge in H1. Countries with severe, long-lasting containment measures and vulnerable labour markets are likely to see the sharpest increases in joblessness. National policy responses to soften the blow will be key to both avoiding massive layoffs during the lockdown and enabling the economy to bounce back quickly once lockdowns come to an end.

Labour market vulnerability scorecard								
Country	Pre-crisis unemployment rate	Pre-crisis labour shortages	Employment in high risk sectors	Share of temporary contracts	Share of small firms	Labour market efficiency	Adult skills	Overall score
Greece	3.1	2.5	2.8	0.4	3.2	2.9	2.2	1.0
Spain	2.4	2.7	2.2	3.1	2.0	1.9	2.7	1.0
Italy	1.5	2.9	1.6	1.4	2.6	2.9	2.5	0.9
Portugal	0.8	2.3	1.9	2.3	2.3	1.5	n.a.	0.8
France	1.2	1.3	0.1	1.3	0.7	1.7	1.9	0.5
Austria	0.2	1.0	2.2	0.0	0.6	1.3	0.5	0.3
Belgium	0.5	1.5	0.0	0.3	1.7	1.3	0.4	0.3
Ireland	0.3	0.6	1.5	0.2	0.9	0.4	1.3	0.3
Finland	0.8	0.8	0.2	1.3	0.5	0.6	0.0	0.2
Germany	0.0	0.5	1.4	0.6	0.0	0.2	1.0	0.2
Netherlands	0.0	0.0	0.2	2.1	1.0	0.0	0.2	0.2

Source: Oxford Economics / Haver Analytics / Eurostat / World Bank / OECD

Note: Higher numbers mean more vulnerable, see Appendix 2 for details

Short-term work schemes not enough to preserve jobs

Uneven work schemes across Europe

European [policymakers are counting on partial activity](#) or short-time work schemes to smooth the shock of the coronavirus-induced lockdowns on the labour market. Conditions governing pre-existing schemes have been relaxed in almost all countries to widen their reach until the coronavirus storm passes. At the same time, the EU has agreed on a [€100bn fund](#) (the so-called 'SURE' program) to help finance the additional costs.

Official data is not yet available for all countries. But statements from national authorities have revealed that these schemes are being widely used by companies, and in much greater numbers than during the global financial crisis or the sovereign debt crisis (**Figure 2**). However, the impact of the coronavirus shock varies between countries, and depends on the toughness and length of containment measures as well as on the measures put in place to smooth the effects. As such, the milder and shorter containment measures in Germany explain its limited recourse to a short work-time scheme relative to other countries, as a larger share of employees have continued working (**Figure 3**).

The institutional framework and conditions attached to short work-time schemes also vary widely between economies, which affects their effectiveness in preserving jobs and avoiding layoffs during the peak of the shock. We have assessed these frameworks in Germany, France, Italy, and Spain, plus the relaxation in each schemes' conditions that have been introduced to better cope with the current crisis.

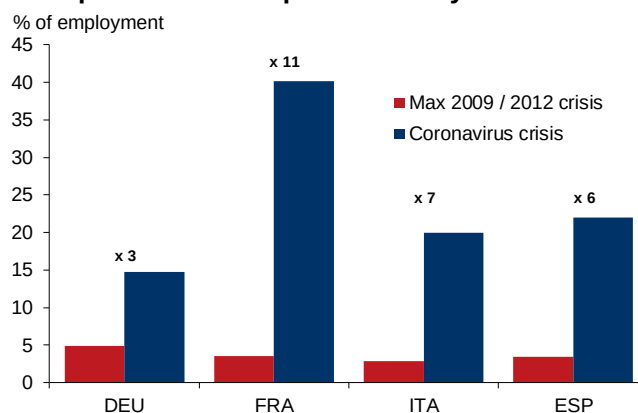
We have ranked them according to three criteria:

(1) eligibility conditions for workers, sectors and firms;
(2) generosity provided to workers (% of incomes covered and any caps) and to companies (the remaining costs for the employer); and (3) the simplicity of the process. Regarding the last point, we acknowledge that the German [Kurzarbeit](#) is well-known by firms and thus the bureaucratic burden is lower compared to the other three, where these schemes are less common (see **Appendix 1**).

Germany's scheme, which had already proved very efficient during the global financial crisis, and France's extended scheme stand out as the best suited to preserve employment against the sharp, but likely short, shock induced by the lockdowns. In contrast, although Italy and Spain have somewhat relaxed conditions on their schemes, the frameworks remain overall more restrictive (**Figure 4**).

Figure 2: Short work-time schemes are being widely used

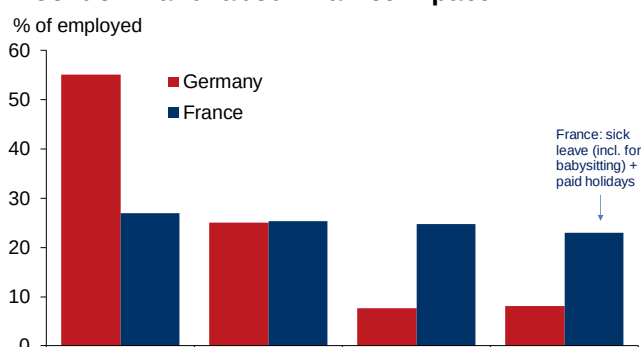
Europe: Workers on partial activity schemes



* based on figures mentioned by authorities as of 4 May 2020
Source : Oxford Economics estimates

Figure 3: The impact on the labour market is uneven across countries

Lockdown and labour market impact



Period: France - week of 23 March, Germany - 20/3-17/4 average and based on those that were employed in January
Source : Oxford Economics / DARES (France) / uni-mannheim.de (Germany)

Figure 4: Germany and France's schemes are best suited to preserve jobs, while Spain and Italy's are more restrictive

Europe: Suitability of partial activity schemes

		Germany		France		Italy		Spain	
		Usual scheme	COVID scheme	Usual scheme	COVID scheme	Usual scheme	COVID scheme	Usual scheme	COVID scheme
Generosity	Eligibility	●	●	●	●	●	●	●	●
	Coverage of workers' incomes	●	●	●	●	●	●	●	●
	Remaining costs for the employer	●	●	●	●	●	●	●	●
Simplicity		●	●	●	●	●	●	●	●
Total score		●	●	●	●	●	●	●	●

Source: Oxford Economics

Short-term work schemes not enough to preserve jobs

As workers under partial activity schemes continue to be considered as employed, they will not inflate unemployment rates. This means the data will be less informative than usual about the current situation in the labour market. But, counting these workers as unemployed would push up the “shadow unemployment rate” surge dramatically in H1, to above 25% for the eurozone. This is double the peaks reached after the two previous crises in most countries (Figures 5). The shadow unemployment rates should begin falling when containment measures are lifted and activity resumes. However, it’s highly likely that some workers on these schemes will end up losing their jobs, especially in the most vulnerable countries or the hardest-hit sectors. Looking beyond the immediate impact of the crisis on labour markets, southern Europe looks more likely to experience higher unemployment rates in the long run.

Southern Europe is the most vulnerable

To evaluate the longer-term impact of the crisis and to discern which labour markets are the most exposed, we need to examine a wider range of factors beyond the immediate implications of the different schemes and the varying severity of lockdowns. To do so, we have built a scorecard covering the key determinants of labour market vulnerability (Figure 1). The following factors are important in determining the extent of the labour market shock in each country:

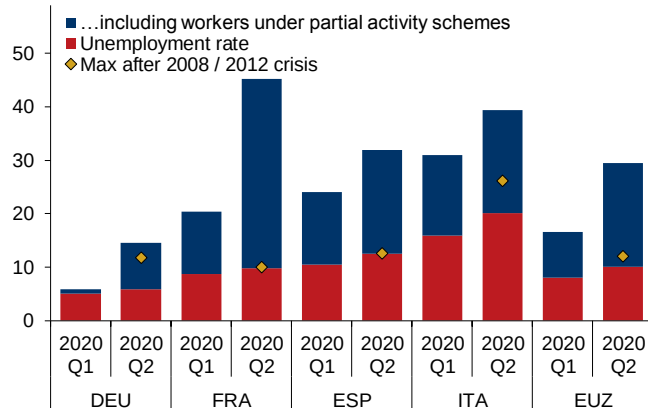
- The pre-crisis health of the labour market, using the unemployment rate at end-2019 and reported labour market shortages last year (proxied by the manufacturing sector due to data availability);
- The proportion of employment in sectors most affected by the crisis (tourism, retail and transport);
- The structure of employment using the percentage of employees on temporary contracts and the share of small firms, which tend to have smaller cash buffers and struggle to access credit; and
- The World Bank’s labour market efficiency [score](#), covering factors such as cooperation in employee-employer relations and the flexibility of wage determination, and an [OECD](#) measure of adult skills in the labour market.

Based on these factors, Greece emerges as the most vulnerable. Spain is second, with a particularly high share of employees on temporary contracts a cause for concern, while Italy also looks exposed. At the other end of the scale, Germany and the Netherlands appear to be positioned.

Figure 5: The “shadow unemployment rate” will surge during the trough of the economic fallout

Europe: Shadow unemployment rate

% of labour force

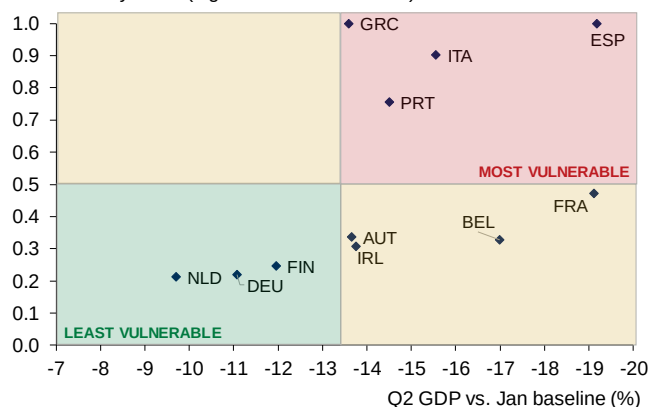


Source : Oxford Economics/national sources/Haver Analytics

Figure 6: Vulnerable labour market combined with large GDP shock exposes southern Europe

Labour market vulnerability & GDP revisions

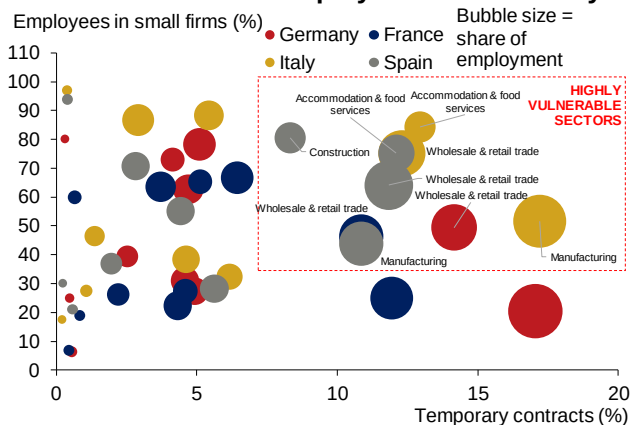
Vulnerability score (higher = more vulnerable)



Source : Oxford Economics / Haver Analytics / Eurostat / World Bank / OECD

Figure 7: At risk sectors include many of those most affected by the lockdown

Eurozone: Sector unemployment vulnerability



Source : Oxford Economics / Haver Analytics / Eurostat
Includes sectors in the non-financial business economy

Short-term work schemes not enough to preserve jobs

The countries ranked as most vulnerable on our scorecard look set to suffer the largest GDP contractions under the lockdowns (**Figure 6**). The fact that we expect substantial falls in output during H1 in Spain, Italy, Greece and Portugal, combined with the weakness of their labour markets, means unemployment is likely to surge in the coming months.

It's also important to highlight that within countries, some sectors are particularly vulnerable. The combination of a high proportion of temporary contracts and many small firms makes accommodation and food services, and wholesale and retail trade in the big four economies look very exposed to the shock (**Figure 7**). Given these are sectors that are already likely to suffer a sharp slump in activity due to lockdowns, employment prospects look very grim.

Risks are firmly to the downside

Our baseline forecast sees sharp rises in unemployment in H1 across the bloc, but particularly in those countries identified as more vulnerable by our scorecard, and those with less effective partial activity work schemes. Even with these schemes limiting the hit to the headline rate, we will still see the eurozone unemployment rate rising very sharply.

What's more, there are clear downside risks. For example, the deterioration in eurozone employment intentions is already worse than that during the financial and sovereign debt crises in the services and retail sectors (**Figure 8**), pointing to a very difficult few months ahead.

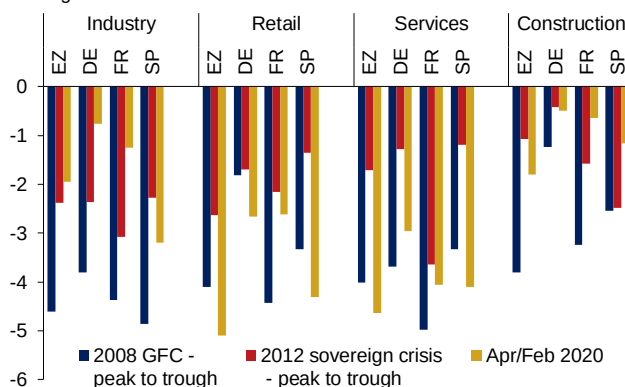
To assess the downside risks, we use our pandemic [downside scenario](#), where lockdowns persist into Q3 and the recovery is slower. In this scenario, there is a much greater rise in joblessness than our baseline forecast. Eurozone unemployment surges to a peak of 14% in Q1 2021, and the subsequent decline is much slower (**Figure 9**). In Spain and Greece, the most vulnerable countries in our scorecard, the unemployment rate rises to well over 20%.

A much slower recovery in jobs growth would be particularly damaging (**Figure 10**). The skills of unemployed workers decline the longer they are out of work, making them less productive and meaning it is harder to find a new job. Disenfranchised job seekers may also drop out of the labour force. This would cause permanent damage to the economy's potential growth, highlighting the need for policymakers to provide a sizable response if the eurozone wants to avoid a repeat of the same mistakes made during the previous crises.

Figure 8: Massive falls in employment expectations, especially in services and retail

Deterioration in employment expectations

Change in standardised indices

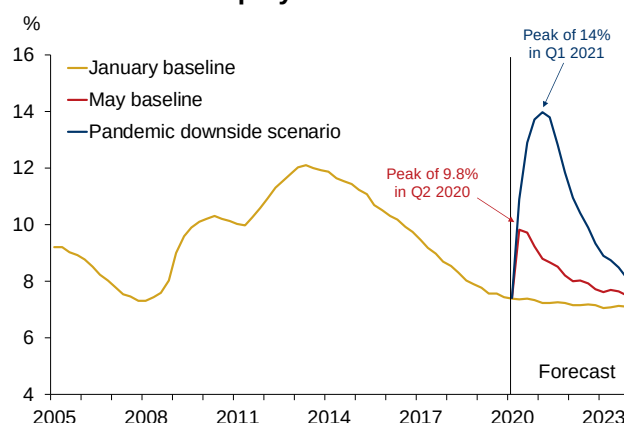


Source : Oxford Economics / Haver Analytics

Note: Excludes Italy as ESI data could not be collected in April

Figure 9: In our pandemic downside scenario, unemployment will be higher than the GFC peak

Eurozone: Unemployment rate

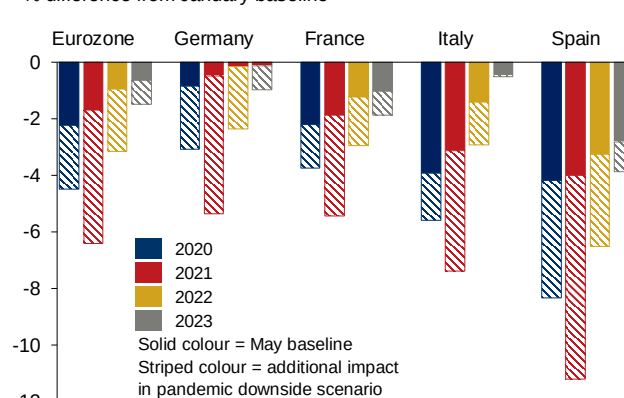


Source : Oxford Economics / Haver Analytics

Figure 10: The pandemic is likely to have a lasting labour market impact

Eurozone: Long-term employment impact

% difference from January baseline



Source : Oxford Economics

Short-term work schemes not enough to preserve jobs

Appendix 1: Short-term work scheme frameworks in Germany, France, Italy and Spain

	Germany		France		Italy		Spain	
	Usual scheme	Scheme under COVID	Usual scheme	Scheme under COVID	Usual scheme	Scheme under COVID	Usual scheme	Scheme under COVID
Sectors	all	all	all	all	Some sectors (eg. services, agriculture) excluded	all	all	all
Company size	all	all	all	all	Normally only larger companies.	all	all	all
Employees	at least one third of the employees must face a pay reduction of more than 10% due to the loss of work	Minimum share of affected workers reduced to 10% and coverage extended to workers in temporary employment / interim staffing ("Zeitarbeit")	Reserved for workers paid by hour	Extended to employees paid by day (<i>forfait jour</i>). If the company has entirely or partly shut down activities (ie. all workers should be concerned)	-	-	Only for <i>force majeure</i> circumstances. Workers need to have accredited minimum working time threshold.	Decree establishing coronavirus is considered as <i>force majeure</i>
% of workers' incomes covered	60% of net wage; 67% for parents	80% of net wage; 87% for parents; alternative income e.g. from temp. jobs in systematically important firms/sectors not deducted	The employer commits to pay 70% of the gross salary (ca. 84% of net salary)	Unchanged	80% of last wage, with threshold at 1.2k per month.	Unchanged	50% to 70% of gross wage	50% to 70% of gross wage even for workers not having accredited minimum working time threshold
% remaining at charge of the company	Company continues to pay social security contributions on lost wages	Government covers social security contributions on lost wages	Compensation paid by the State to the employer: Fixed compensation of: - 7,74€ for firms with < 250 employees - 7,23€ for firms with < 250 employees	70% of the gross salary with a ceiling of 4.5 times the minimum wage (ceiling c.6.8K/month for a full time job)	Several costs remain at charge of the employer	Most of costs remaining at charge of the employers have been lifted	Company continues to pay social security contributions	Companies partially or totally exempt from paying social security contributions depending on their size
Max period covered	12 months	24 months	6 months	12 months	12 months	Unchanged	Indefinite as long as "extraordinary" circumstances in place	Unchanged
Process	Firm applies to scheme for its workers in advance / pre-emptively and reimbursed retroactively, once actual reduction in employment / hours is known	Unchanged	Requests are to be made in advance. A 30 day delay is accepted only under "exceptional circumstances" Prior consultation with trade unions necessary.	All requests considered "exceptional circumstances". The request could be made until 31 Dec. 2020 with a retroactive effect. Trade unions can be consulted after the demand is made.	Prior consultation with trade unions necessary.	Unchanged	Prior consultation with trade unions necessary. The request will be made by the employer to the government which delivers the authorisation.	Unchanged
Delay of response	-	-	2 weeks	Response under 48 hours, accepted by default afterwards.	Around 3 weeks	Unchanged	-	-

Appendix 2: Labour market vulnerability scorecard

Our scorecard includes the following factors:

- The unemployment rate in Q4 2019.
- Reported labour shortages in 2019 in the manufacturing sector.
- The proportion of employment in sectors most affected by the crisis – wholesale and retail trade, transportation and storage, accommodation and food services, real estate activities, arts entertainment and recreation, and half of jobs in manufacturing.
- The percentage of employees on temporary contracts.
- The share of small firms (0-9 persons employed) as a percentage of the total number of firms.
- The World Bank's labour market efficiency score (the latest available score is from 2017).
- OECD measure of adult skills in the labour market, using the percentage of adults with low literacy and/or numeracy skills, which is relatively well correlated with adult ICT skills (note that that data was collected from 2011 to 2015 so is slightly outdated).

To compute the overall score, we normalise the data in each category to ensure the values are comparable. We use the formula: $score = (x - x_{min})/\sigma$, where x is the value for each country in the respective category, x_{min} is the minimum value in each category and σ denotes the standard deviation of the values in each category. The overall score is an unweighted average of the scores for each category.